

If you approach it from that traditional point of view, you miss the point.”

What’s also interesting about these owner-operators is they are underrepresented in the S&P 500 index — a widely quoted index meant to stand for the market as a whole. As Matt pointed out, the S&P 500 uses a float-adjusted market cap to determine the weight in the index — meaning, the S&P counts only what is not in the hands of insiders.

“It’s the free-float market cap,” Matt explained. “So if somebody like Warren Buffett were buying more Berkshire Hathaway, the weighting in the S&P 500 would go down. It’s precisely counter to what you would want to happen. If the person running the business were buying more stock, then you want the weight to go up, if anything. The S&P is doing precisely the opposite, which is ridiculous.”

Conversely, if an insider sold stock, then its weight in the S&P 500 would go up — again, completely the opposite of what you’d want. Contra the S&P 500, the Wealth Index (and hence the Wealth Masters Fund) is looking for companies with a significant insider.

The proof is in the pudding, as the saying goes. And performance of the index has been top-notch. It’s blown the doors off the S&P 500 — by about 2.7 percent per year for 20 years. The Wealth Masters Fund is a way for you to invest in this strategy.

There is also academic evidence for the Wealth Index idea.

“When we were getting very close to launching the index,” Matt said, “The Journal of Index Investing published a piece titled ‘The Rich Get Richer and So Can You: Investing in a Billionaire’s Index.’ It described our idea very closely. We were startled and thought somebody was going to scoop us. On the other hand, it was nice to see an independent third party validate the concept.” (For more on this paper, see the sidebar “Wealth begets wealth.”)

We talked about the composition of the index. The highest weight (37 percent) was in consumer discretionary stocks — such as AutoNation, Carnival, Hyatt Hotels or Wendy’s. There is hardly any weight in mining, which ought to tell you something. There are many financial and real estate companies. BOK Financial, for example, is a bank run by George Kaiser in Oklahoma. “That’s one of the best run banks in history,” Matt said. “We’re not talking about a Citi or JP